Cyrela

Brazil | Outperform

March 19, 2026 | 4Q25 Review

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Q4 P&L in line due to one-offs; FCF ahead of us

Release Date: Thu, Mar 19 (After Market)

CYRE reported solid Q4 results, with net income growing 16% y/y to BRL 682mn. But, adjusting for one-off gains related to the dilution of its stake in CURY following the follow-on offer, earnings would have come in at BRL 612mn (+4% y/y; 7% below us). Elsewhere, FCF of BRL 65mn was ahead of our cash burn expectation. While the mid/high-income segment faces rising inventories – implying a more challenging growth backdrop – CYRE is expanding its low-income operations (Vivaz), with BRL 2.6bn in low-income landbank acquisitions in 4Q and launches expected to reach BRL 4.7bn in FY26 (35% of total), which should help offset less high-end projects. We estimate ~40% of CYRE's FY26 earnings will be driven by MCMV (Vivaz + JVs), supporting profitability. Trading at 1.2x P/TBV (1.05x YE26), we keep our Outperform rating.

Top line strong, margins impacted by mix and one-offs gains. Net revenues totaled BRL 3.23bn (+29% y/y; 8% above our estimates), driven by solid sales, construction progress (PoC), and accounting changes (recognition of sales upon incurrence rather than post-condition precedent). Gross margin was 32.3% (+30bps y/y; 70bps below us), impacted by the effect from sales of studios and commercial units at Vista Milano, which carry lower margins due to accounting allocation of costs by area. This had a 1.8p.p. negative impact on margins, implying a normalized gross margin closer to 34.0%. CYRE also recognized BRL 70mn in one-off gains (post-tax) from the CURY follow-on dilution. All in, net income reached BRL 682mn (+16% y/y), or BRL 612mn ex one-offs (+4% y/y; 7% miss), with solid annualized ROE of 24%.

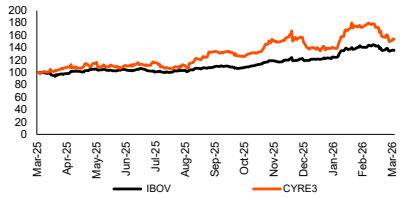
FCF ahead of expectations; balance sheet remains solid. CYRE reported cash burn of BRL 38mn, but adjusting for movements in related-party liabilities (to align with our methodology), FCF generation reached BRL 65mn vs. our expectation of BRL 52mn cash burn – helped by the collection of dividends of BRL 280mn in the quarter, the bulk coming from CURY and LAVV big extraordinary dividend distributions. In the quarter, CYRE paid BRL 1.39bn in dividends, ending with net debt of BRL 1.8bn (16% of equity), maintaining a comfortable leverage profile despite high recent distributions.

Ticker (local)	CYRE3
Target Price - BRL(1Yr FWD)	37.00

Stock Data

Current price	BRL	27.25
Upside (1Yr FWD)	%	35.8
52 Week high/low	BRL	32.67/19.52
Shares outstanding	th	14,193,021
Market capitalization	BRL m	386,760
3-mth avg daily vol.	BRL m	159
Performance (%)	1m	12m
Absolute	-13.4	57.0
Vs. Ibovespa	-10.3	14.9

Company x Ibovespa



Source: Itaú BBA

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CYRE – 4Q25 (BRL mn)

Income statement summary	4Q25A	4Q25E	A/E (%)	3Q25	QoQ (%)	4Q24	YoY (%)
Launches (100%)	**4,531**	**4,531**	*0.0%*	**5,050**	*-10.3%*	**6,737**	*-32.7%*
Launches (100%)	3,444	3,444	*0.0%*	3,484	*-1.2%*	4,982	*-30.9%*
Net Sales (100%)	**3,330**	**3,330**	*0.0%*	**3,547**	*-6.1%*	**4,905**	*-32.1%*
Net Sales (100%)	2,498	2,498	*0.0%*	2,533	*-1.4%*	3,636	*-31.3%*
(=) Net revenues	**3,235**	**3,008**	*7.5%*	**2,128**	*52.0%*	**2,506**	*29.1%*
(=) Gross profit	**1,043**	**992**	*5.2%*	**702**	*48.5%*	**800**	*30.4%*
(-) Selling expenses	(274)	(228)	*20.3%*	(238)	*15.3%*	(188)	*46.1%*
(-) G&A	(140)	(140)	*-0.5%*	(132)	*6.0%*	(120)	*15.8%*
(+/-) Net financial results	66	61	*7.5%*	57	*16.3%*	17	*294.9%*
(+/-) Other income (expenses)	(21)	(30)	*n.a.*	217	*n.a.*	78	*n.a.*
(+) Equity Income	164	144	*13.7%*	132	*24.4%*	148	*11.1%*
(=) EBT	**838**	**799**	*4.9%*	**739**	*13.5%*	**735**	*14.1%*
(=) Net income	**682**	**662**	*3.0%*	**609**	*12.0%*	**589**	*15.9%*
Adj. EPS	1.7	1.8	*-7.5%*	1.1	*54.6%*	1.6	*7.5%*
Adj. gross margin	*33.7%*	*34.5%*	*-79.6bps*	*35.3%*	*-156.5bps*	*33.4%*	*36.6bps*
Gross margin	*32.3%*	*33.0%*	*-72.0bps*	*33.0%*	*-75.0bps*	*31.9%*	*32.5bps*
Net margin	*18.9%*	*22.0%*	*-308.4bps*	*18.6%*	*31.3bps*	*23.5%*	*-456.3bps*
(=) FCF generation (cash burn)	65	(52)	*n.a.*	88	*n.a.*	23	*n.a.*
ROE	**23.5%**	**25.5%**	*-206.0bps*	**15.7%**	*781.7bps*	**26.4%**	*-290.4bps*

Source: Company and Itaú BBA

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